

Lord Cranworth's Act. — By *Lord Cranworth's Act*, 23 & 24 Vict. c. 145, s. 29 (passed 28th August, 1860), it was enacted that "The receipts in writing of any trustees or trustee for *any money* payable to them or him by reason or in exercise of any *trusts* or *powers*" should be good discharges; but by section 34, the operation of the Act was expressly confined to instruments executed after the passing of the Act.

[44 & 45 Vict. c. 41. — By the Conveyancing and Law of Property Act, 1881, which repealed the 29th section of Lord Cranworth's Act, "the receipts in writing of any trustees or trustee for any money, securities, or other personal property or effects payable, transferable, or deliverable to them or him under any trust or power" are made sufficient discharges, and the section applies to trusts created either before or after the commencement of the Act (a).]

As the clauses in [the Acts prior to the Conveyancing and Law of Property Act, 1881, were not retrospective, and questions may still arise on titles as to the validity of receipts by trustees who had no express powers of signing receipts,] it is necessary to consider generally and apart from legislative enactment the power of trustees for sale to sign receipts.

1. **Principle of requiring a purchaser to see to the application of his purchase-money.** — As a general rule, if a person have in his hands money or other property to which another person is entitled, he cannot discharge himself from liability but by payment or transfer to the true owner. If an estate be vested in A. upon trust to sell and *divide the [*453] proceeds between B. and C., in a Court of *law* the absolute ownership is in A., and his receipt, therefore, will discharge the purchaser; but in equity B. and C., the *cestuis que trust*, are the true proprietors, and A. is merely the instrument for the execution of the settlor's purpose, and the receipt, therefore, to be effectual, must be signed by B. and C. (a).

[(a) 44 & 45 Vict. c. 41, ss. 36, 71.]

(a) See *Weatherby v. St. Giorgio*, 2 Hare, 624. The power of the vendor to sign a discharge for the pur-

chase-money is a question not of conveyance but of title; *Forbes v. Peacock*, 12 Sim. 521.